

## Halqa — Collection and Auto-Pull Specification

24 September 2026, revision 3. How money is collected from a member, the tiers of collection, the daily settlement of HYPER without a pool, the mandate lifecycle, the statutory position of each party, and the arrears model that replaces a member balance.

Revision 2 follows the legal verification of 24 September 2026. A Raast Request to Pay settles to the merchant that sends it, so Halqa never sends one for a contribution. The payment partner is an electronic money institution. HYPER settles each payer directly to one collector, so no party holds a pool. Revision 3 corrects one line: a penalty on a Shariah labelled circle is given to charity at the end of the circle.

### 1. The rule every tier obeys

A contribution moves from the paying member's account to the collecting member's account. No part of it passes through an account of Halqa's at any point, however briefly. Halqa's own fee is the only money Halqa receives.

### 2. The collection tiers

| Tier | Mechanism                                                                                  | Member action                                                                                              | Cost                                                             | Where it is used                                 |
|------|--------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------|--------------------------------------------------|
| 1    | Payment initiation by the electronic money institution partner, over Raast where available | One approval inside the Halqa application. The partner debits the member and credits the collecting member | The partner's rate, to be agreed. Raast itself carries no charge | Default on monthly circles                       |
| 2    | Token mandate held by the partner                                                          | None after the first authorisation                                                                         | About 1.5 per cent, to be confirmed with the partner             | HYPER, where an approval each day is impractical |
| 3    | The member sends over Raast from                                                           | The member sends to the collector's                                                                        | Free                                                             | Always available                                 |

| Tier | Mechanism                                                                      | Member action                                                      | Cost                                               | Where it is used |
|------|--------------------------------------------------------------------------------|--------------------------------------------------------------------|----------------------------------------------------|------------------|
|      | their own bank or wallet                                                       | Raast ID, shown in the application with the amount and a reference |                                                    |                  |
| Fee  | Raast Request to Pay sent by Halqa, which is the rightful payee of its own fee | One approval                                                       | Raast merchant discount rate 0 per cent at present | Halqa's fee only |

Halqa never sends a Request to Pay for a contribution. Raast Request to Pay exists only in the person-to-merchant scheme, and on acceptance "the Merchant will receive Instant Settlement" (Bank Alfalah, Raast P2M Request to Pay terms). Person-to-person Raast has no request feature: the payer specifies "beneficiary's IBAN or Raast ID (mobile number)" and sends (State Bank of Pakistan, Raast P2P). A request sent by Halqa for a contribution would make Halqa the payee of member money, which is the acceptance of a deposit under section 84(1) of the Companies Act 2017.

### 3. Why the rail cost decides the tier

| Product         | Instalment | Rail at 1.5 per cent | Halqa fee | Rail as a share of the fee |
|-----------------|------------|----------------------|-----------|----------------------------|
| Hyper, Option 1 | Rs 450     | Rs 6.75              | Rs 75     | 9%                         |
| Hyper, Option 2 | Rs 500     | Rs 7.50              | Rs 83.33  | 9%                         |
| Monthly circle  | Rs 2,500   | Rs 37.50             | Rs 100    | 38%                        |
| Monthly circle  | Rs 5,000   | Rs 75.00             | Rs 150    | 50%                        |
| Monthly circle  | Rs 20,000  | Rs 300.00            | Rs 500    | 60%                        |

The fee is flat and a percentage rail rises with the instalment, so the ratio worsens as the instalment grows. Raast carries no charge to the member ("No charges on Raast related services", State Bank of Pakistan), and the Raast merchant discount rate is 0 per cent at present. The partner's own charge for initiation and for mandates is therefore the cost to be established, and on monthly circles it should be priced per transaction rather than as a percentage.

#### 4. HYPER daily settlement without a pool

Each day, the members who are not collecting are divided among that day's collectors, and each pays one collector directly. The collector's own contribution is set off against their pot.

| Quantity                              | Option 1                                       | Option 2                                            |
|---------------------------------------|------------------------------------------------|-----------------------------------------------------|
| Roster                                | 400                                            | 390                                                 |
| Collecting each day                   | 8                                              | 15                                                  |
| Paying each day                       | 392                                            | 375                                                 |
| Payers assigned to each collector     | 49                                             | 25                                                  |
| Received from assigned payers         | $49 \times \text{Rs } 300 = \text{Rs } 14,700$ | $25 \times \text{Rs } 333.33 = \text{Rs } 8,333.33$ |
| Collector's own contribution, set off | Rs 300                                         | Rs 333.33                                           |
| Pot                                   | Rs 15,000                                      | Rs 8,666.67                                         |

Both configurations divide exactly, so every collector receives the full pot from named members and no party holds a day's money. A missed payment is arrears owed by that payer to that collector. On the late member's own collection day, the amount they owe is paid to the member they left short, from their own incoming contributions, instead of to them. Escrow under para 7.I(g) of the 2023 regulations is not required by this design; it remains available if same-day equalisation is ever wanted.

#### 5. Mandate lifecycle

| Stage      | What happens                                                                                                                       | What is stored                                      |
|------------|------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------|
| Offer      | Mandate offered at join and from the circle screen. Never pre-selected                                                             | Nothing                                             |
| Disclosure | The terms at section 7 are presented before consent                                                                                | Document version and hash                           |
| Consent    | The member confirms with the application PIN. A preauthorised transfer "may be authorized by the Consumer either in writing, or in | Consent record with version, hash, address and time |

| Stage        | What happens                                                                   | What is stored                                |
|--------------|--------------------------------------------------------------------------------|-----------------------------------------------|
|              | any other accepted form" (PS&EFT Act s.35(1))                                  |                                               |
| Tokenisation | The partner creates and holds the token. Halqa receives a reference            | Opaque reference only. No payment credential  |
| Caps         | Amount cap set to one instalment. Frequency cap set to the cadence             | Cap values against the mandate                |
| Active       | Debits attempted on schedule and on the inferred pay day                       | An attempt row per try, with outcome and rail |
| Amendment    | Any material change notified at least 21 days in advance                       | Notice record with date sent                  |
| Cancellation | Available in the application and with the member's own bank, effective at once | Cancellation record with time                 |
| Expiry       | Mandate ends when the circle completes or the member exits                     | Closure record                                |

Cancelling the mandate returns the member to tier 3. It does not cancel the commitment to the circle. Those are separate actions on separate screens with separate wording.

## 6. Statutory position of each party

The duties the Act attaches to an electronic fund transfer fall on the member's bank, the "Financial Institution", and on the "Authorized Party", which the Act defines as "a bank, a Financial Institution, a Clearing House, a Service Provider or any person authorized by the State Bank to transact business under this Act in Pakistan" (s.2(f)). Halqa is neither. The partner carries the duties under its licence; Halqa supports each of them by design and by contract.

| Clause         | Text                                                                       | Duty falls on           | How Halqa's design supports it               |
|----------------|----------------------------------------------------------------------------|-------------------------|----------------------------------------------|
| PS&EFT s.35(1) | "A preauthorized Electronic Fund Transfer from a Consumer's Account may be | Authorises the transfer | In-application consent with PIN confirmation |

| Clause                                            | Text                                                                                                                                                                                                                                                                                        | Duty falls on            | How Halqa's design supports it                               |
|---------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------|--------------------------------------------------------------|
|                                                   | authorized by the Consumer either in writing, or in any other accepted form."                                                                                                                                                                                                               |                          |                                                              |
| PS&EFT s.35(2)                                    | "A consumer may stop payment of a Preauthorized Electronic Fund Transfer by notifying the Financial Institution."                                                                                                                                                                           | The member's bank        | Cancellation also offered in the application                 |
| PS&EFT s.30(1), Terms and Conditions of Transfers | Terms "shall be disclosed by a Financial Institution, operator or other Authorized Party in English and in a manner clearly understood by the consumer, at the time the Consumer contracts for an Electronic Fund Transfer service, in accordance with the instructions of the State Bank." | The bank and the partner | The terms screen at section 7, in English and Urdu           |
| PS&EFT s.30(2)                                    | Ten items, (i) to (x), from liability for unauthorised transfers to a notice of ATM fees                                                                                                                                                                                                    | The bank and the partner | All ten mapped in the terms screen where they apply          |
| PS&EFT s.31(1)                                    | "A Financial Institution or any other Authorized party, shall notify a Consumer in writing ... at least twenty-one days prior to the effective date of any material change in                                                                                                               | The bank and the partner | A notice job that holds the change until 21 days have passed |

| Clause                         | Text                                                                                                                                                                                                                                                             | Duty falls on                       | How Halqa's design supports it                                          |
|--------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------|-------------------------------------------------------------------------|
|                                | any term or condition of the Consumer's Account"                                                                                                                                                                                                                 |                                     |                                                                         |
| PS&EFT s.36(2)                 | "When an error has occurred, the Financial Institution or the Authorized Party shall investigate the alleged error to determine whether an error has occurred, and report in writing the result of such investigation to the consumer within ten Business Days." | The bank and the partner            | A dispute ticket with a 10 business day clock, passed to the partner    |
| PS&EFT s.39 and s.41           | Triple damages for a bad-faith investigation; the burden of proving authorisation rests "upon the Financial Institution or the Authorized Party"                                                                                                                 | The bank and the partner            | Consent record, mandate reference and attempt log retained              |
| PS&EFT s.28                    | The State Bank may apply the Act to "a person other than a Financial Institution, holding a Consumer's Account"                                                                                                                                                  | Anyone who holds a member's account | Halqa holds none                                                        |
| PSO/PSP Rules 2014, r.6.5      | "PSOs and PSPs will not act as custodian of consumer's money"                                                                                                                                                                                                    | A payment service provider          | The design needs no custodian (section 4)                               |
| EMI Regulations 2023, para 7.1 | An electronic money institution may provide "payment aggregation, bill/invoice aggregation, payment initiation" (f), escrow with separate                                                                                                                        | The partner                         | Halqa is the third party service provider using the partner's interface |

| Clause | Text                                                                                                                                                                                                                             | Duty falls on | How Halqa's design supports it |
|--------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|--------------------------------|
|        | approval (g), and "services via secured Application Programming Interfaces (APIs) ... to other Financial Institutions, Third Party Service Providers (TPSPs) and other Fintech", notifying the State Bank 30 days in advance (h) |               |                                |

## 7. The terms screen

Presented on one screen before consent, in English and Urdu, and retained with its version and hash. The partner is the party that owes the disclosure under section 30; Halqa presents it where the member is.

| Item                 | Content                                                                                                                               |
|----------------------|---------------------------------------------------------------------------------------------------------------------------------------|
| What will be taken   | The exact amount, split into contribution, takaful contribution and fee                                                               |
| Where each part goes | The contribution to the named collecting member, the takaful contribution to the operator's participants' risk fund, the fee to Halqa |
| When                 | The schedule, and that a collection may be attempted on the inferred pay day ahead of the due date                                    |
| From where           | The named account, with the registered title shown                                                                                    |
| Frequency and limit  | The cadence, the number of collections, and the per-mandate amount cap                                                                |
| Charges              | Any rail charge, and whether it is borne by the member or by Halqa                                                                    |
| Right to stop        | How to cancel in the application or with the member's                                                                                 |

| Item                          | Content                                                                                                        |
|-------------------------------|----------------------------------------------------------------------------------------------------------------|
|                               | bank                                                                                                           |
| What cancellation does not do | That it returns the member to tier 3 and does not end the commitment to the circle                             |
| Liability and error reporting | Liability for an unauthorised transfer, and the partner's name, address and telephone number for reporting one |
| Documentation                 | That a receipt is issued for every collection and a statement is available at any time                         |

## 8. The arrears model

A missed collection does not create a balance on the member profile. It creates an arrears record against the round.

| Approach                               | Effect                                                                                                                               | Verdict  |
|----------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------|----------|
| Negative balance on the member profile | Implies the member owes Halqa.<br>Creates a claim on the issuer, which is the shape of stored value under PS&EFT s.2(s)              | Not used |
| Arrears record against the round       | The member owes the member they left short. Settled on the late member's own collection day.<br>Never money held by or owed to Halqa | Used     |

| Step      | Detail                                                                                            |
|-----------|---------------------------------------------------------------------------------------------------|
| Recorded  | Against the round, the late member and the member left short, with the amount and the date missed |
| Displayed | As instalments outstanding in that circle, never as a rupee balance on the profile                |
| Penalty   | Applied by the late ladder. On Shariah-labelled circles                                           |

| Step                      | Detail                                                                                                                                                  |
|---------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------|
|                           | the penalty is given to charity at the end of the circle                                                                                                |
| Cleared by payment        | Arrears plus penalty paid to the member left short, position restored                                                                                   |
| Cleared on collection day | Where the late member reaches their collection day still in arrears, the amount owed is paid to the member left short from their incoming contributions |
| Default after collection  | Nothing remains to settle from. This is the only case that becomes a claim on the takaful fund, paid by the operator in the member's own name           |

## 9. Retry policy

| Rule                        | Value                                                                          | Reason                                                                                       |
|-----------------------------|--------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------|
| Attempts per due instalment | 3                                                                              | Aggressive re-presentation is the behaviour that removed lending applications from the store |
| Spacing                     | Due time, then 24 hours, then 48 hours                                         | Gives the member time to fund the account                                                    |
| Pay day attempt             | One additional attempt on the inferred pay day, ahead of the due date          | Collection while the balance is at its highest                                               |
| Stop conditions             | Mandate revoked, account closed, or three failures                             | Distinguished by the partner's return code                                                   |
| After the final failure     | Member notified, arrears recorded, ladder begins, no further automatic attempt | The member is not pursued by machine indefinitely                                            |
| Notification                | Before each attempt and after each outcome                                     | A collection that is announced is not a surprise                                             |

## 10. Return codes and handling

| Partner outcome                  | System response                                                     |
|----------------------------------|---------------------------------------------------------------------|
| Settled                          | Payment marked paid, ledger pair written, receipt issued            |
| Pending                          | Left pending. Settlement occurs only on the signed partner callback |
| Insufficient funds               | Attempt logged, retry scheduled, member notified with the reason    |
| Mandate revoked                  | Mandate closed, member returned to tier 3, no retry                 |
| Account closed or invalid        | Mandate closed, member asked to link another account, no retry      |
| Technical failure at the partner | Retried with backoff. Not counted against the three-attempt limit   |
| Duplicate                        | Blocked by the idempotency key. Original result returned            |

## 11. Security of the mandate

| Control               | Detail                                                                               |
|-----------------------|--------------------------------------------------------------------------------------|
| Token custody         | Held by the partner. Halqa stores an opaque reference and never a payment credential |
| Scope                 | One mandate per member per circle. A mandate cannot be used for another circle       |
| Amount cap            | Set to one instalment at creation. A compromised reference cannot drain an account   |
| Frequency cap         | Set to the cadence. More frequent attempts are rejected by the partner               |
| Callback verification | Partner signature verified before any settlement is written                          |
| Replay protection     | Idempotency key on every collection, unique constraint enforced in the database      |

| Control | Detail                                                                                      |
|---------|---------------------------------------------------------------------------------------------|
| Audit   | Every mandate creation, amendment, cancellation and attempt written to the append-only log  |
| Access  | No member can view or act on another member's mandate. Guards enforced per route and tested |

## 12. Settlement and reconciliation

| Requirement                    | Detail                                                                                                                                                   |
|--------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| Destination                    | The contribution settles from the paying member's account to the collecting member's account. Halqa initiates through the partner and is never the payee |
| The other two parts            | The fee settles to Halqa. The takaful contribution settles, in full, to the operator's account for the participants' risk fund                           |
| Where the partner cannot split | The member makes the parts as separate transfers in one flow. An onward payment from an account of Halqa's is never used                                 |
| Ledger                         | Each part written as a double entry against its own named account, inside the settlement transaction                                                     |
| Daily reconciliation           | Ledger compared to the partner's settlement report, matched on the mandate reference                                                                     |
| Break handling                 | An unreconciled break holds that circle's next collection until cleared                                                                                  |
| Monthly reconciliation         | Against the takaful operator's statement and, at stage two, the trustee's statement                                                                      |

## 13. Questions for the partner

| Question                                                                                                     | Why it decides the design                                                         |
|--------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|
| Will you provide payment initiation and aggregation to Halqa under para 7.1(f), through your interface under | This is the basis on which Halqa arranges collection without a licence of its own |

| Question                                                                                                                            | Why it decides the design                                    |
|-------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------|
| para 7.1(h)?                                                                                                                        |                                                              |
| Can a payment initiated through you debit one member and credit another member's account directly?                                  | If not, tier 1 and tier 2 cannot run on your service         |
| Can one debit split to three destinations: the collecting member, Halqa and the takaful operator?                                   | If not, the parts are sent as separate transfers in one flow |
| Is the token held by you, with only a reference returned?                                                                           | Halqa must never hold a payment credential                   |
| Can per-mandate amount and frequency caps be set?                                                                                   | Determines whether a compromised reference is containable    |
| What is your charge per initiated payment and per mandate collection, and can it be fixed per transaction rather than a percentage? | Decides the economics of monthly circles                     |
| When would you make the 30 day notice to the State Bank under para 7.1(h)?                                                          | Sets the launch date                                         |
| What return codes distinguish insufficient funds from a revoked mandate?                                                            | The retry policy depends on telling them apart               |
| What reconciliation file is provided, and does it carry the mandate reference?                                                      | Determines whether daily reconciliation is possible          |

## 14. Build status

| Component                             | Present state                                           |
|---------------------------------------|---------------------------------------------------------|
| Mandate fields per member and circle  | Built. Enabled flag, rail, mandate timestamp, reference |
| Consent capture with timestamp        | Built                                                   |
| Attempt logging with outcome and rail | Built. Used as evidence by the pay day inference engine |
| Pay day attempt ahead of the due date | Built                                                   |
| Idempotency on settlement             | Built                                                   |

| Component                                                        | Present state                          |
|------------------------------------------------------------------|----------------------------------------|
| Provider interface with one branch per rail                      | Built. Live branch not yet implemented |
| Partner adapter for initiation and mandates                      | To build, once credentials exist       |
| Tier 3 send screen with the collector's Raast ID and a reference | To build                               |
| HYPER payer-to-collector assignment                              | To build                               |
| Terms screen                                                     | To build                               |
| Cancellation flow, distinct from circle exit                     | To build                               |
| Amount and frequency caps                                        | To build                               |
| Arrears record between the late member and the member left short | To build                               |
| Retry limits and spacing                                         | To build                               |
| Signed callback verification                                     | To build                               |
| Daily reconciliation against the settlement report               | To build                               |
| 21 day change notice job                                         | To build                               |
| Dispute ticket with a 10 business day clock                      | To build                               |